EQUIPMENT B5

20.6					20.7					
Sept	01	Bank		CPJ	110 000	Feb	28	Balance	c/d	110 000
					110 000					**110 000**
20.7						20.8				
Mar	01	Balance		b/d	110 000	Feb	28	Balance	c/d	142 000
June	30	Bank		CPJ	**20 000**					
20.8										
Feb	28	Bank		CPJ	12 000					
					142 000					**142 000**
20.8										
Mar	01	Balance		b/d	**142 000**					

ACCUMULATED DEPRECIATION ON VEHICLES B6

					20.7				
					Feb	28	Depreciation	**GJ**	62 500
					20.8				
					Feb	28	**Depreciation** (84 375 + 17 500)	**GJ**	**101 875**
					20.9				
					Feb	29	**Depreciation**	**GJ**	**109 531**

ACCUMULATED DEPRECIATION ON EQUIPMENT B7

					20.7				
					Feb	28	Depreciation	**GJ**	**8 250**
					20.8				
					Feb	28	**Depreciation**	**GJ**	**18 500**
					20.9				
					Feb	29	**Depreciation**	**GJ**	**21 300**

NOMINAL SECTION

DEPRECIATION N12

20.7									
Feb	28	Acc dep on vehicles	**GJ**	**62 500**					
		Acc dep on equipment	**GJ**	8 250					
20.8									
Feb	28	**Acc dep on vehicles**[1]	**GJ**	**101 875**					
		Acc dep on equipment[2]	**GJ**	**18 500**					
20.9									
Feb	28	**Acc dep on vehicles**[3]	**GJ**	**109 531**					
		Acc dep on equipment[4]	**GJ**	**21 300**					

Note:
The depreciation rate was not given so it has to be worked out as follows:
Vehicle – diminishing balance method is used but for the first year it is the same as the cost method:
$^{62\,500}/_{250\,000}$ x 100 = 25%

Equipment – on cost but the equipment was only bought half way through the year, therefore the depreciation figure given of R8 250 is for half year. Double the depreciation to find what it would have been for the year i.e. $^{16\,500}/_{110\,000}$ x 100 = 15%. An alternative would have been to calculate R8 250 as a percentage of R110 000 and then double that. The important concept is to realise that percentages are quoted per annum so there must be a doubling of the 6 months depreciation written off.

TASK 2.12 [LO 3; AS 3.3]

This task could be used for peer assessment. Each member of the group assesses each other.